16.9 LET US SUM UP

SEBI is a statutory regulatory body that was established by the Government of India in 1992 to protect the interests of investors investing in securities along with regulating the securities market. SEBI regulates the stock market and how mutual funds function. It promotes the development of the securities market and regulates the business. SEBI's objectives are to fulfil the needs of issuers, investors and intermediaries.

The governance of SEBI is entrusted to the SEBI board which consists of a chairman and several other full-time and part-time members. The chairman is nominated by the union government. The others include two members from the finance ministry, one member from the Reserve Bank of India and five other members are also nominated by the Centre. Further, a Securities Appellate Tribunal (SAT) has been constituted to protect the interest of entities that feel aggrieved by SEBI's decision. SAT consists of a presiding officer and two other members.

SEBI has three functions rolled into one body: *quasi-legislative, quasi-judicial and quasi-executive*. It drafts regulations in its legislative capacity, it conducts investigation and enforcement action in its executive function and it passes rulings and orders in its judicial capacity.

SEBI has introduced numerous measures to improve the efficiency of the capital market in India. By improving market efficiency, increasing transparency, and preventing unfair trade practices, SEBI has succeeded in raising the standard of the Indian capital market to the international level. Underlying this progress in the securities market have been several noteworthy institutional developments. SEBI has the power to provide licenses to dealers and brokers of the capital market. On several occasions, SEBI has taken action against front-running. Over the years, SEBI has done a good job of rewriting the rules and regulations to ensure India's stock markets and the ecosystem around it function efficiently. But some loopholes remained.

SEBI plays an important role in the following ways:

i) Making rules for regulating the stock exchange,

ii) Providing licenses to dealers and brokers,

iii) Regulating mergers, acquisitions and takeovers of the companies, and

iv) Auditing the performance of the stock market.

16.10 KEY WORDS

Application Supported by Blocked Amount (ASBA) facility : Where investor funds remain blocked in their bank accounts instead of being passed to the broker until the execution of the purchase order.

Fintech : New technology that seeks to improve and automate the delivery and use of financial services.

Forensic audit : It involves a deep examination of all sorts of records within an organisation to identify possible unethical or criminal behaviour.

Front-running : occurs when somebody utilises insider knowledge of planned future institutional transactions to take a position on their account before the institutional orders are placed.

Index providers : Index providers are those institutions that formulate and manage indices. The most prominent indices in India are the Nifty50 by NSE Indices, and Sensex provided by a venture of S&P Dow Jones Indices and BSE Lied.

Insider trading : Making profits by buying or selling a publicly traded company's stock by someone (usually an insider) with non-public, material information about that company.

Short selling : Short-selling is an investment strategy in which a trader speculates on the decline of a stock price using complex financial products.

Side letters : Side letters are agreements between a particular investor and the investment manager that provide the specific investor with different or preferential terms than those outlined in the fund's governing documents, available to other investors.

Total expense ratio (TER) : It is the amount that Mutual Funds proportionately charge investors for the expense incurred on a scheme.

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16.12 ANSWER/HINTS TO CHECK YOUR PROGRESS EXERCISES

Check Your Progress 1

1) SEBI is a market regulator officially established in the year 1988 and given autonomous and statutory powers in 1992 to protect the interests of investors in the securities market. It also regulates the functioning of the stock market.

2) Regulation of Stock Exchanges, investor protection, preventing fraudulent practices, developing a code of conduct, and ensuring investor's education.

3) The failure of the securities market could have a ripple effect on the rest of the financial system as a whole. Safeguarding investors' interest will also ensure confidence in the stock market and ultimately growth of the stock market.

Check Your Progress 2

1) Listing Obligations and Disclosure Requirements for Prevention of Fraud and Unfair Trade Practices Rules, shield retail investors from fraud, advanced and graded surveillance mechanisms.

2) Refer to Section 16.4

3) Securities Appellate Tribunal (SAT) has been constituted to protect the interest of entities that feel aggrieved by SEBI's decision. SAT consists of a presiding officer and two other members.

4) Refer to Sub-section 16.4.2

Check Your Progress 3

1) The massive size of illegal businesses, financial influencers, money laundering through FII, and dealing with hi-tech innovative products.

2) SEBI is working to build internal capacity and skillsets in efficiently mining surveillance data and building a convincing evidence trail.

3) Accounting rule writing and administration system.

4) Investors focus on sustainability investing, shifting from finance-centric investment models to more socially and environmentally responsible long-term investing trends. ESG has gained significant traction globally which focuses on non-financial factors as a metric for guiding investment decisions.

16.13 TERMINAL EXERCISES

1) 'To promote orderly and healthy growth of securities market and protection of investors, SEBI was set up'. With reference to this statement, describe the working of SEBI.

2) How will you explain the success of SEBI in regulating the Indian capital market since its inception? Amplify your answer.

3) 'SEBI needs to reinvent itself and its regulations to control market manipulation in the digital era'. Explain this statement and do you think SEBI's regulations need to be rewritten?

4) Examine how SEBI has been responsive to the needs of three groups, which constitute the market: the issuers, the investors, and the intermediaries.

5) How is SEBI a quasi-legislative, quasi-executive and quasi-judicial organisation? Explain with examples.

6) What are the multiple perspectives from which the rationale for establishing SEBI was made? Give a reason for your answer.

UNIT 17 OTHER FINANCIAL INSTITUTIONS AND REGULATIONS

Structure

17.0 OBJECTIVES

After completing this unit, you will be able to:

- highlight the heterogeneity of other financial institutions (OFIs) institutions as they serve specific sectors of the economy;

- describe functions of EXIM Bank, SIDBI, NABARD;
- discuss role of NaBFID, IIFCL and IL&FS in financing infrastructure projects;
- point out the importance of investment institutions like LIC and Non-life insurance institutions;
- explain the significance of TFCI in promoting tourism in the country; and
- narrate the importance of mutual funds in the financial system.

17.1 INTRODUCTION

As discussed in Unit 2, financial intermediation in India is conducted by a wide range of financial institutions. The Reserve Bank of India is the apex institution of the financial system. However, there are other financial institutions (OFIs) also like NaBFID, NABARD, SIDBI, EXIM Bank, NHB etc. which play a very important role in regulating different aspects of the financial system. This unit examines the structure and evolution of the OFIs over the past six decades. The unit concentrates on the '*organized*' segment of the OFIs which includes sector-specific financial institutions, and investment institutions e.g., insurance companies (life and non-life) and mutual funds.

17.2 NATURE AND IMPORTANCE OF OTHER FINANCIAL INSTITUTIONS (OFIs)

In India's '*organised*' sector there exists a wide range of other financial institutions. The role of OFIs is to recognise the gaps in institutions and markets in the financial sector and act as a gap-filler. OFIs can be classified into two broad categories of institutions based on their area of operation: *Sector-specific financial institutions* and *Investment Institutions*. The various measures of developmental finance indicate that the OFI are playing an increasingly active role in the transfer of funds from the surplus to the deficit sectors in the economy. These financial institutions obtain their resources partly from the Government and partly as loans or refinancing from the capital market. The assistance provided by these institutions is quantitatively important. The Government used these institutions for the achievements in planning and development of the nation as a whole. The structure and evolution of OFIs are aimed at ensuring the flow of finance in desired directions and in particular to priority areas of development such as infrastructure, agriculture, small industries and backward areas; thus, assisting in the accomplishment of desired goals.

OFIs can be classified into two broad categories of institutions as per their area of operation:

1) Sector-specific financial institutions: Small Industries Development Bank of India (SIDBI); Export-Import Bank of India (EXIM Bank); National Bank for Agriculture and Rural Development (NABARD); National Bank for Financing Infrastructure and Development (NaBFID), India Infrastructure Finance Company Ltd. (IIFCL), Infrastructure Leasing & Financial Services (IL&FS); National Housing Bank (NHB); Power Finance Corporation (PFC); Rural Electrification Corporation (REC); Tourism Finance Corporation of India (TFCI).

2) Investment Institutions: Life Insurance Corporation of India (LIC), General Insurance Companies and Mutual Funds.

17.3 SMALL INDUSTRIES DEVELOPMENT BANK OF INDIA (SIDBI)

SIDBI is the primary financial institution for promoting, developing and financing the MSME (Micro, Small and Medium Enterprise) sector and coordination of the functions of the various institutions engaged in similar activities. It is an independent financial institution established on 2nd April 1990 under the Small Industries Development Bank of India Act 1989 as a subsidiary of the Industrial Development Bank of India (IDBI turned into a commercial bank as IDBI Bank). Currently, The GoI and 22 other PSBs/FIs/Insurance Companies, owned or under the authority of the Central Government, hold shares of the IDBI [GoI (20.85%), SBI (15.65%), LIC (13.33%), NABARD (9.36%), PNB (5.96%), others (34.85%)]. SIDBI acts as the principal financial institution for the promotion, financing and development of the MSMEs sector and also coordinates the functions of the institutions engaged in similar activities. SIDBI's Head Office is in Lucknow.

17.3.1 SIDBI's Primary Functions

SIDBI's primary functions are:

i) Providing finance for the growth and development of micro, small and medium-scale enterprises (MSMEs). SIDBI also promotes cleaner production and energy efficiency. It helps MSMEs in acquiring the funds they require to grow, market, develop and commercialise their technologies and innovative products.

ii) Refinancing loans and advances provided by the existing lending institutions to small-scale units.

iii) The SIDBI provides several schemes and also offers financial services and products for meeting the individual requirements of various businesses.

17.3.2 Finance Facilities Offered by SIDBI

It offers the following facilities to its customers:

1) *Direct finance* offers working capital assistance, term loan assistance, foreign currency loans, support against receivables, equity support, energy saving schemes for the MSME sector, etc.

2) *Indirect finance* offers indirect assistance by providing refinance to PLIs (Primary Lending Institutions), comprising commercial banks, State Level Financial Institutions, etc. with an extensive branch network across the country. The key objective of the refinancing scheme is to raise the resource position of Primary Lending Institutions that would ultimately enable the flow of credit to the MSME sector i.e. microfinance institutions.

3) It discounts and rediscounts bills.

4) The Ministry of MSMEs and SIDBI, established a trust named Credit Guarantee Fund Trust for Micro and Small Enterprises (CGTMSE) to implement the Credit Guarantee Scheme (CGS). The scheme was formally launched on August 30, 2000.

17.3.3 Importance of SIDBI

As an apex institution, SIDBI is playing a proactive role in reaching out to MSMEs by extending financial and developmental support services to MSMEs. Its importance can be described as follows:

i) It helps in expanding marketing channels for the products of MSMEs both in the domestic as well as international markets.

ii) It offers services like factoring, leasing etc. to the industrial concerns in the MSME sector.

iii) It promotes employment-oriented industries, particularly in semi-urban areas for creating employment opportunities and thus checking relocation of people to the urban areas.

iv) It also initiates steps for modernisation and technological up-gradation of current units.

v) Policies are framed for customised loans as per the requirements of businesses. If the requirement doesn't fall into the ordinary and usual category, SIDBI would assist funding in the right way. Credit and loans are modified as per the size of the business as well. Its processes and rate structure are transparent. There aren't any hidden charges.

vi) It offers various schemes which have concessional interest rates and comfortable terms. It has a tie-up with several banks and financial institutions the world over e.g. World Bank and the Japan International Cooperation Agency and could offer concessional interest rates.

vii) The SIDBI formally institutionalized the micro-credit programme by setting up a specialized department called SIDBI Foundation for Micro Credit (SFMC) in 1999 as the "Institutional Answer" to the huge unmet demand for microfinance. Its microfinance programme is perceived as a "Credit Plus" programme and hence, does not restrict itself to funding alone. But also provide capacity-building grants as well.

viii) SIDBI extends Nodal Agency services to the Government of India for schemes sponsored by various Ministries to encourage the implementation of modernisation and technology upgradation projects by manufacturing units in the MSME sector.

Check Your Progress 1

1) Discuss the nature and importance of OFIs.

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2) Explain the financing activities of SIDBI.

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3) Describe its importance in financing MSMEs.

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17.4 EXPORT-IMPORT BANK OF INDIA (EXIM BANK)

Export-Import Bank of India (EXIM Bank) was established on January 1, 1982, under the EXIM Bank of India Act 1981 to provide financial assistance to exporters and importers, and function as the principal financial institution for co-ordinating the working of institutions engaged in financing export and import of goods and services to promote the country's international trade and for matters connected therewith or incidental thereto. Its headquarters is in Mumbai. Since its inception, it has been the principal financial institution in the country for financing project exports and exports on deferred credit terms. Exim Bank has two broad business streams:

i) the traditional export finance typical of export credit agencies around the world, and

ii) financing of export-oriented units (export capability creation), which are non-traditional for export credit agencies.

17.4.1 Financing Functions and Facilities

Exim Bank extends funded and non-funded facilities for overseas turnkey projects, civil construction contracts, technical and consultancy service contracts as well as supplies. Under powers delegated vide the PEM, it provides post-award clearance for project export contracts valued up to USD 100 million. It also plays the role of a financier and provides funded and non-funded support for project export contracts of Indian Entities. The bank lays special emphasis on the extension of Lines of Credit (LOCs) to overseas entities, national governments, regional financial institutions and Commercial Banks. *A Line of Credit (LoC)* is a financing mechanism through which Exim Bank extends support for the export of projects, equipment, goods and services from India. LOC provides a safe mode of non-recourse financing option for Indian exporters to enter new export markets or expand business in existing export markets without any payment risk from overseas importers. Exim Bank extends LoCs on its own and also at the behest and with the support of the Government of India.

EXIM Bank provides financing facilities for Indian companies executing contracts overseas in the form of pre-shipment credit, supplier's credit, export of projects, consultancy, technological services, and guarantee facilities. Similarly, for overseas entities financing takes the form of buyer's credit. In addition to these, it extends export credit to export-oriented units, including research and development (R&D) finance. It provides working capital finance by way of pre-shipment credit and post-shipment credit.

Finance for MSMEs: There are services that Exim Bank offers to support Small and Medium Enterprises. It has arranged for a credit line from the Asian Development Bank (ADB) for providing foreign currency term loans to the MSME borrowers in certain specific lagging states of India, viz. Assam, Madhya Pradesh, Orissa, Uttar Pradesh, Chhattisgarh, Jharkhand, Rajasthan and Uttarakhand. In the MSME segment, Exim Bank has introduced a Programme specifically for financing the Creative Economy. The Creative Industries are those industries which have their origin in individual creativity, skill and talent and which have a potential for wealth and Job creation through the generation and exploitation of intellectual property viz., Advertising, Architecture, Art and Antiques Market, Crafts, Design, Designer Fashion, Film and Video, Interactive Leisure Software, Music, Performing Arts, Publishing, Software and Computer Services, Television and Radio etc. The EXIM Bank extends financial support to promote grassroots initiatives/technologies, particularly those having export potential.

The EXIM Bank has fostered a network of alliances and institutional linkages with multilateral agencies, export credit agencies, banks and financial